

one of interest to us connoisseurs of the fine art of Dhandho is the low-risk, high-uncertainty combination, which gives us our most sought after coin-toss odds. Heads, I win; tails, I don't lose much!

American Express, ADP, Paychex, Procter & Gamble, and Costco are all examples of low-uncertainty businesses. Their stock prices rarely get to bargain basement prices. When uncertainty does cloud their future, as it did for American Express in the 1960s, their stock price will dutifully tank.

## **STEWART ENTERPRISES**

A good case study of a low-risk, high-uncertainty business is the situation with Stewart Enterprises (STEI) in 2000. Stewart is a 96-year-old company that had done a roll-up in the funeral service business through the 1990s.<sup>[1](#)</sup> The funeral services industry had been highly fragmented until it became fashionable in the early 1990s to roll them up into billion-dollar enterprises. Companies like Stewart Enterprises (STEI), Loewen, Service Corp. (SRV), and Carriage Services (CSV) went on rapid buying sprees of these mom-and-pop businesses at high multiples—ending up heavily debt laden.

The mistake all three made was that most of the acquisitions were done for cash rather than stock, and they freely borrowed money to support their acquisition binge. The music stopped when Loewen couldn't handle its crushing debt load and went bankrupt. Wall Street lost its excitement for the funeral business, and their stocks started to come down—way down. Bankers and lenders weren't interested in further lending and wanted balance sheets deleveraged. With no additional acquisitions, sales went flat. This is not a growth business.

Stewart found itself in 2000 with \$930 million of long-term debt with about \$500 million coming due in 2002. Wall Street began to doubt the debt-servicing ability of all of these funeral service behemoths and priced their equities as if they were all going to go bankrupt. Due to this overhang, Stewart saw its stock go from \$28 per share to under \$2 per share in two years ([Figure 13.1](#)).